Political Polarization and Market Reactions to Auditor-Change Disclosures

Neil Hwang
Bronx Community College, CUNY

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Abstract

We provide the first evidence that political polarization shapes investor reactions to mandatory audit-related disclosures. Auditor-change filings (Form 8-K Item 4.01) require the firm to disclose the circumstances of the separation, but the signal can be ambiguous — investors must assess auditor credibility and infer the nature of the change, judgments that depend on trust in auditors and the PCAOB as regulatory institutions. Because that trust varies with political identity, polarization generates heterogeneous interpretations of the same public filing. In a sample of 678 auditor-change disclosures (2001–2023), firms headquartered in more politically polarized states experience significantly larger abnormal trading volume ($p = 0.010$) and absolute abnormal returns ($p = 0.039$) around the filing. The effect is absent for the same firms' earnings announcements (AbVol $p = 0.393$; $|CAR|$ $p = 0.918$; $N = 20{,}800$), confirming that polarization amplifies disagreement specifically when the disclosure requires interpretation, not when the signal is numerically precise. These findings suggest a limit to disclosure-based regulation: when investors differ in their assessments of institutional credibility, the same mandatory disclosure can generate more, not less, disagreement.

1 Introduction

Auditor-change disclosures are among the most consequential mandatory filings in the Form 8-K reporting system. Form 8-K Item 4.01 requires the firm to disclose the reasons for the change and any disagreements with its outgoing auditor. Prior research establishes that these disclosures are informative: abnormal returns around auditor changes reflect assessments of future reporting quality, regulatory relationships, and management credibility (Johnson and Lys, 1990; Dodd et al., 1984; DeFond and Subramanyam, 1998; Landsman et al., 2009). Yet the magnitude of market reactions varies substantially across otherwise similar events, and the sources of that cross-sectional variation remain incompletely understood. This paper identifies one systematic and previously undocumented source: the political environment in which investors are embedded. We find that market reactions to mandatory audit-related disclosures are larger where the firm's headquarters state is more politically divided, consistent with investors holding more heterogeneous priors about audit credibility and regulatory oversight.

Auditor-change disclosures are well-suited for studying heterogeneous investor interpretation for three reasons. First, they are standardized and public — all investors receive the same filing simultaneously, via the same EDGAR channel — so differences in reactions across firms cannot be attributed to information timing, access, or format differences. Second, the signal is inherently ambiguous: a firm may change auditors for routine reasons (fee negotiation, committee rotation policy), rising audit risk, cost or quality concerns, or disagreement over financial reporting, and the 8-K filing frequently provides incomplete guidance about which explanation applies. Investors must form their own assessments. Third, auditing is an institution-dependent activity: the credibility of the signal depends on investors' trust in auditors, the PCAOB, and the broader regulatory infrastructure that underwrites audit quality. That trust varies systematically with political identity, making the auditor-change setting especially exposed to politically driven differences in interpretation.

Our theoretical framework builds on Kandel and Pearson (1995): investors observe the

same public audit signal but form different posteriors depending on their priors about firm quality, auditor credibility, and the reliability of regulatory oversight. Political polarization amplifies this heterogeneity. Polarized investors diverge not only in their substantive interpretations of an auditor change — whether it signals earnings manipulation risk or routine governance — but also in their assessments of whether auditors and the PCAOB are credible certifiers of financial reporting quality. This divergence is distinct from information asymmetry: polarization does not change what is disclosed, only how investors with different priors process it. Under standard belief-driven trading models (Harris and Raviv, 1993), greater posterior dispersion translates into higher abnormal volume and larger absolute price movements around the disclosure.

We identify this effect using cross-state variation in partisan polarization, measured as one minus the absolute two-party presidential vote margin at the state level, constructed from MIT Election Lab county-level returns and forward-filled to annual frequency. We use presidential rather than congressional returns because presidential elections are the most nationalized arena of U.S. electoral competition — outcomes are driven by broad national partisan forces rather than candidate- or district-specific factors — making them a cleaner proxy for the partisan belief environment (Vertz et al., 1987; Abramowitz and Webster, 2016; Moskowitz, 2021). More polarized states — where the presidential electorate is more evenly divided between the parties — capture political-information environments in which investors may be more likely to hold divergent priors about institutional credibility and the interpretation of regulatory signals. We acknowledge a key limitation of this proxy: institutional investors are geographically dispersed and need not share the political characteristics of the firm's headquarters state. We treat headquarters-state partisan polarization as a noisy reduced-form proxy for the political-information environment surrounding the disclosure, not a precise measure of individual investor beliefs; measurement error of this kind attenuates estimated coefficients toward zero, so our findings are likely conservative. Our sample consists of 678 Form 8-K Item 4.01 filings from 2001 to 2023, matched to CRSP daily return and

volume data and Compustat firm characteristics. Our main specification regresses abnormal trading volume and $|CAR[-1,+1]|$ on standardized partisan polarization, controlling for firm size, leverage, profitability, and book-to-market ratio, with year and industry fixed effects throughout.

We find that firms headquartered in more politically polarized states experience significantly larger abnormal trading volume ($p = 0.010$) and absolute abnormal returns ($p = 0.039$) around auditor-change disclosures. A within-firm placebo test on the same firms' earnings announcements ($N = 20{,}800$) rules out a generic salience explanation. The volume result is robust to three alternative polarization proxies, alternative clustering structures, and a small-firm subsample restriction; the absolute return result is more fragile across proxies, consistent with volume being the sharper formal prediction. Post-event returns show no reversal, indicating persistent belief heterogeneity rather than transient overreaction.

This paper makes three contributions. First, we document a previously unexamined channel through which political polarization shapes capital-market outcomes: the interpretation of mandatory audit-related disclosures. A substantial literature already establishes that political identity influences investor behavior and market outcomes broadly (Kempf and Tsoutsoura, 2024); our contribution is to show that this extends to the mandatory audit-disclosure setting, where institutional trust in auditors and the PCAOB is central to how investors translate the same public filing into beliefs about firm quality. Prior work establishes that auditor-change disclosures are informative on average (Firth, 1978; Dodd et al., 1984; DeFond and Zhang, 2014); we show that the magnitude of market reactions varies systematically with the political-information environment in which investors receive the disclosure — a source of cross-sectional variation not previously documented in the auditing literature. Second, we distinguish politically shaped interpretation of audit signals from a simpler account in which polarization merely amplifies investor attention to any salient corporate event. A within-firm placebo shows that polarization has no effect on the same firms' earnings-announcement reactions ($N = 20{,}800$); exploratory event-type splits provide

suggestive but mixed evidence that the effect varies with how much interpretive latitude the filing leaves. Third, our evidence suggests that the informativeness of mandatory audit disclosure depends on the political-information environment in which investors interpret it, not only on the content of the filing itself, with implications for how disclosure-based regulation performs across heterogeneous investor populations.

The remainder of the paper proceeds as follows. Section 2 reviews the related literature. Section 3 develops the theoretical framework. Section 4 states the testable hypotheses. Section 5 describes the empirical design. Section 6 presents the results. Section 7 concludes.

2 Related Literature

2.1 Audit Reports and Capital Markets

A substantial literature documents that auditor-related disclosures convey information to investors. Early studies show that qualified audit opinions affect stock prices (Firth, 1978; Dodd et al., 1984). Subsequent work examines how audit quality relates to market outcomes more broadly (Francis, 2004; DeFond and Zhang, 2014). Research on expanded audit reporting — including critical audit matters under PCAOB AS 3101 — finds mixed evidence on incremental informativeness, with some studies finding that richer disclosures affect investor decisions (Christensen et al., 2014) and others finding limited price effects (Gutierrez et al., 2018). We build on this literature by asking not whether audit signals are informative in the aggregate, but whether their interpretation varies systematically with the political environment.

2.2 Auditor Changes

Auditor changes are among the most salient audit-related events. The direction and magnitude of market reactions depend on the nature of the switch (Johnson and Lys, 1990; DeFond and Subramanyam, 1998; Landsman et al., 2009): Big-4 departures tend to generate nega-

tive abnormal returns, while Big-4 appointments are viewed more favorably. We use these events as our primary setting because the mandatory, standardized disclosure format makes them ideal for studying cross-sectional differences in interpretation.

2.3 Political Economy of Auditing

A related literature examines how political factors influence audit outcomes. Chan et al. (2006) document that political connections shape auditor reporting behavior and auditor switching in a cross-country setting, showing that audit opinions respond to political incentives rather than purely economic ones. More broadly, the political economy of auditing encompasses how regulatory, institutional, and political pressures shape the supply of audit quality (Francis, 2004; DeFond and Zhang, 2014). Lennox and Pittman (2010) show that Big 4 auditor oversight is associated with lower fraud incidence, underscoring that the institutional infrastructure surrounding auditing — including regulatory design and oversight — has measurable consequences for financial reporting quality.

Our paper examines a different and largely unexplored dimension: the *investor side* of the audit signal. This mechanism is particularly salient in the context of PCAOB oversight, whose authority and credibility as a regulatory body may not be assessed uniformly across investor groups. Investors who are more skeptical of regulatory institutions — consistent with evidence that political identity systematically shapes financial attitudes and behavior (Kempf and Tsoutsoura, 2024) — may discount the credibility of auditor disclosures differently from investors who trust regulatory oversight. This mechanism is orthogonal to the auditor-side political economy literature and complements it: even if political pressures leave auditor behavior unchanged, polarization in the investor population can amplify the capital-market consequences of those disclosures.

2.4 Political Polarization and Capital Markets

A rapidly growing literature documents that political polarization affects capital markets. Kempf and Tsoutsoura (2024) survey evidence that partisan identity influences asset allocation, trading behavior, and return expectations. Related work shows that partisan identity shapes macroeconomic expectations (Gerber and Huber, 2009; Coibion et al., 2020) and perceived risk (Barrios and Hochberg, 2021), suggesting that polarization operates through belief formation, not only through trading incentives. Most directly related to our paper, Goldman et al. (2024) show that politically slanted media outlets cover the same corporate financial news differently and that this politics-induced disagreement increases abnormal trading volume for politically extreme firms. Our paper differs in two respects: the information set is a standardized mandatory filing received identically by all investors (not media-intermediated), and the setting is audit-related disclosure, where institutional trust in the regulatory infrastructure plays a central role in interpretation.

The political science literature makes an important distinction between two forms of polarization with different implications for our setting. *Ideological polarization* refers to divergence in substantive policy positions; it shapes beliefs about the economy and institutions through differences in worldview. *Affective polarization* refers to out-party animus, distrust, and social distance that can intensify even when policy views remain moderate (Iyengar et al., 2012, 2019; Mason, 2015; Druckman and Levy, 2021). Both forms are relevant here: auditor disclosures are institution-dependent signals whose interpretation may be shaped by substantive policy disagreement *and* by affective distrust of the regulatory gatekeepers that certify them. Iyengar et al. (2019) document that partisan animus spills over into nonpolitical domains — employment, commerce, interpersonal trust — even when no direct political content is present, making it plausible that affective distrust of the PCAOB and major auditing firms is similarly portable across partisan lines.

Our primary proxy (presidential electoral polarization) captures cross-sectional partisan division in the mass electorate, which reflects both ideological sorting and affective separation

at the state level. We extend this literature to the auditing context, where institutional trust plays an unusually central role in translating a disclosure into a market signal. We test the separate contributions of ideological and affective polarization empirically in Section 6.

2.5 Heterogeneous Beliefs and Trading

Our theoretical framework draws on models of heterogeneous beliefs in financial markets. Harris and Raviv (1993) show that differences of opinion generate trade even without private information. Kandel and Pearson (1995) demonstrate that investors with heterogeneous priors interpret identical public signals differently, generating trading volume and price effects. Hong and Stein (2007) survey the broader literature on disagreement and asset prices. We contribute to this literature by linking belief heterogeneity to a specific, measurable source — political polarization — and by identifying the audit disclosure setting as a clean empirical context.

3 Theory

We formalize polarization as a latent force that increases heterogeneity in investors' interpretation of auditor-originated disclosures. The Bayesian model that follows operationalizes this heterogeneity through prior beliefs, which is the most tractable formal channel. Institutional trust and perceived signal precision should be understood as reduced-form sources of prior-like heterogeneity: a less trusting investor effectively places a lower prior on the informativeness of the auditor's signal; an investor who perceives lower signal precision effectively flattens the likelihood function. Either way, the formal result is the same increase in posterior dispersion. The model thus provides a microfoundation for the broader mechanism described in the introduction, not a claim that priors are the only operative channel.

In the affective-polarization literature (Iyengar et al., 2012, 2019), partisan identity and out-party distrust shape how individuals evaluate the credibility of information and the in-

stitutions that produce it. In the present setting, these forces can be interpreted as widening the cross-group gap in trust in the disclosure (τ_g) or in perceived signal precision (κ_g). As shown in Appendix B, all three channels generate the same posterior-dispersion comparative static: whenever polarization widens the cross-group posterior log-odds index, belief dispersion and disagreement-sensitive market outcomes strictly increase. The heterogeneous-priors model below should therefore be read as a tractable benchmark case of this broader class of polarization mechanisms.

3.1 Setting

The model draws on the heterogeneous-priors framework of Kandel and Pearson (1995). Consider a firm whose true quality $\theta \in \{0, 1\}$ is unknown to investors. The firm discloses an auditor-related signal $s \in \{0, 1\}$ (e.g., an auditor change announcement). Signals are informative: $P(s = 1 \mid \theta = 1) = p_H > P(s = 1 \mid \theta = 0) = p_L$, with $p_H > p_L$.

Investors observe s and form posterior beliefs. All investors share the same likelihood function $\{p_H, p_L\}$ but differ in their prior beliefs about the firm's quality.

Two-group structure. We model investors as belonging to two ideological groups indexed by political affiliation $g \in \{D, R\}$, with population shares ω_D and $\omega_R = 1 - \omega_D$. Group g holds prior $\pi_g \equiv P_g(\theta = 1) \in (0, 1)$, with $\pi_D \neq \pi_R$. Group-level priors reflect differential trust in auditors and regulatory institutions. In the model, all heterogeneity is captured by differences in π_g; in practice, polarization may also affect how investors perceive signal precision (p_H, p_L) or how much weight they place on the disclosure relative to their priors. The reduced-form predictions are the same: greater political distance generates greater dispersion in posterior beliefs. Polarization increases the *dispersion* of priors across groups without changing the *average* prior.

3.2 Belief Updating

Group g's posterior belief after observing $s = 1$ is:

$$P_g(\theta = 1 \mid s = 1) = \frac{p_H \, \pi_g}{p_H \, \pi_g + p_L(1 - \pi_g)} \equiv \phi(\pi_g). \tag{1}$$

The function $\phi(\cdot)$ is strictly increasing in π_g. It is also concave (since $\phi''(\pi) < 0$ for all $\pi \in (0, 1)$ when $p_H > p_L$); concavity implies that a mean-preserving spread of priors shifts the average posterior downward, which has implications for equilibrium prices, but it is not required for the variance result below, which depends only on strict monotonicity.

We now establish the central comparative static of the model: that any widening of the gap between group priors — holding the average prior fixed — increases the dispersion of posterior beliefs. This is the formal sense in which polarization amplifies disagreement.

Proposition 1 (Polarization and belief dispersion)**.** *Fix population shares $\omega_D, \omega_R > 0$ with $\omega_D + \omega_R = 1$ and mean prior $\bar{\pi} = \omega_D \pi_D + \omega_R \pi_R$. The variance of posterior beliefs across groups is*

$$\mathrm{Var}[\phi(\pi_g)] = \omega_D \omega_R \big(\phi(\pi_D) - \phi(\pi_R)\big)^2.$$

For any increase in $|\pi_D - \pi_R|$ that holds $\bar{\pi}$ fixed, $\mathrm{Var}[\phi(\pi_g)]$ *strictly increases.*

Proof. See Appendix B. □

Remark. Proposition 1 isolates the mechanism through which polarization enters the model. The key condition is a *mean-preserving spread* of priors: polarization shifts the two groups farther apart while leaving the population-average prior $\bar{\pi}$ unchanged. This rules out the alternative that polarization merely correlates with aggregate pessimism or optimism about firm quality. Under this condition, the posterior variance increases strictly — more polarized priors generate more dispersed beliefs after observing the same signal. The proposition thereby provides the formal microfoundation for the primary empirical prediction: more dispersed posteriors produce higher disagreement-driven trading volume (Prediction 1). Larger

absolute price movements (Prediction 2) follow from the same dispersion mechanism under additional market-friction assumptions but are not formally derived here. The result is stated for a tractable two-group setting; extension to richer prior distributions would require additional assumptions on the shape of the distribution and is left for future work.

3.3 Equilibrium Prices and Trading

Trading volume is increasing in posterior belief dispersion (Harris and Raviv, 1993; Kandel and Pearson, 1995):

$$\frac{\partial V}{\partial \operatorname{Var}[\phi(\pi_g)]} > 0. \tag{2}$$

By Proposition 1, polarization strictly increases posterior belief dispersion. Trading volume is the outcome most directly linked to this result: more dispersed posteriors generate more investor pairs with divergent beliefs and hence mutually beneficial trading opportunities, raising aggregate volume even in the absence of private information.

From posterior dispersion to absolute returns. The mapping from posterior-belief dispersion to trading volume is direct: when investors form more dispersed posteriors after the same public signal, more pairs of investors have opposing desired trades, increasing turnover. The link to absolute abnormal returns requires one additional market-clearing ingredient. Suppose investor i demands

$$q_i(P) = \alpha_i\big(\mu_i - P\big),$$

where μ_i is investor i's posterior valuation and $\alpha_i > 0$ captures risk-bearing capacity. If pessimistic investors can short without friction and all trades clear symmetrically, disagreement need not generate large price movements even though it increases volume. By contrast, under standard limits to arbitrage — such as short-sale constraints, heterogeneous risk-bearing capacity, or segmented participation (Miller, 1977; Hong and Stein, 2003; Gromb and Vayanos,

2010) — optimistic and pessimistic demands do not offset one-for-one. In that case, greater posterior dispersion generates larger net order imbalances and therefore larger equilibrium price adjustments in absolute value. We therefore view $AbVol$ as the sharpest implication of the model, and $|CAR|$ as a secondary outcome that follows under empirically plausible market-friction assumptions.

3.4 Role of Signal Ambiguity

The model predicts that polarization effects are larger when audit signals are more ambiguous. The mechanism runs not through the objective log-likelihood ratio ℓ itself, but through the *dispersion of perceived precision* $|\kappa_D - \kappa_R|$ that ambiguity induces.

In the unified framework of Proposition 2, each group's posterior log-odds is $X_g = a(\pi_g) + \tau_g \kappa_g \ell$, where $\ell = \log(p_H/p_L)$ is the objective log-likelihood ratio and τ_g, κ_g capture group g's trust in and perceived precision of the disclosure. The cross-group gap is $|X_D - X_R| = |a(\pi_D) - a(\pi_R) + (\tau_D\kappa_D - \tau_R\kappa_R)\ell|$. When a filing provides clear, objective guidance about the nature of the auditor change (e.g., a disclosed disagreement or a transparent quality transition), investors face less uncertainty about the signal's informativeness; their perceived precisions converge ($\kappa_D \approx \kappa_R$), and the subjective term $(\tau_D\kappa_D - \tau_R\kappa_R)\ell$ contributes little to the cross-group gap regardless of ℓ. When the filing is ambiguous — providing limited objective guidance about fault or severity — investors must form their own assessments of how informative the disclosure is, and these assessments diverge along politically shaped lines: $|\kappa_D - \kappa_R|$ widens, amplifying the subjective contribution to $|X_D - X_R|$ and thereby increasing posterior variance (Proposition 2). Ambiguous signals therefore *widen the dispersion of perceived precision* across politically heterogeneous investors — precisely where political identity shapes belief formation.

In our setting, signal ambiguity varies systematically across auditor-change events. We define signal ambiguity as the degree of interpretive latitude left by the filing regarding the severity, source, or implications of the auditor change. An auditor departure following a

disclosed disagreement over accounting estimates or a qualified opinion leaves investors with less interpretive latitude: the filing itself provides guidance about fault and severity. A Big-4-to-Big-4 lateral move with a generic or absent stated reason provides little objective information; investors must rely more heavily on their subjective assessment of what the change portends, a judgment shaped by their trust in auditors and the PCAOB as institutions.

Empirically, however, ambiguity and economic materiality are difficult to separate in this setting. Events we classify as high-ambiguity — lateral moves without disclosed disagreements — tend also to be less economically consequential: the absence of a quality-tier transition or a formal disagreement suggests that less is at stake. Events classified as low-ambiguity — those involving quality-tier transitions or disclosed disagreements — carry clearer signals but also signal that something material has occurred. The model's prediction holds interpretive latitude constant while varying materiality, but our observable indicator captures both dimensions simultaneously.

We construct a `high_ambiguity` indicator from observable filing characteristics (defined formally in Section 5) and interact it with the polarization measure in P3 below.

3.5 Testable Predictions

P1. *Polarization and trading volume (primary formal prediction).* By Proposition 1 and Equation (2), polarization increases posterior-belief variance, which increases disagreement-driven trading volume. This is the primary formal implication of the model. We test P1 using abnormal trading volume ($AbVol$) as the outcome (defined in Section 5).

P2. *Polarization and absolute returns (secondary empirical prediction).* When investors on opposing sides of the prior distribution revise beliefs in opposite directions, absolute price movements are amplified even when the average signed reaction is close to zero. This prediction is consistent with the model's dispersion mechanism, but the link from posterior variance to $|CAR|$ depends additionally on demand asymmetry, short-sale

constraints, or limits to arbitrage (Miller, 1977; Hong and Stein, 2003; Gromb and Vayanos, 2010). We therefore treat $|CAR|$ as a complementary empirical outcome: evidence that polarization increases both $AbVol$ and $|CAR|$ is more informative than either alone, but $AbVol$ is the cleaner formal prediction. We test P2 by regressing $|CAR[-1,+1]|$ on the state-year polarization measure, with the same controls and fixed effects as P1.

P3. *Ambiguity amplification.* Per Section 3.4, ambiguous filings induce greater dispersion in perceived signal precision ($|\kappa_D - \kappa_R|$), because investors must form their own assessments of how informative the disclosure is. This wider dispersion amplifies the subjective contribution to the cross-group gap in posterior log-odds (Proposition 2). Holding economic materiality constant, polarization effects should therefore be larger for more ambiguous events. We operationalize this as an interaction between the polarization measure and a `high_ambiguity` indicator constructed from observable filing characteristics. A positive interaction coefficient, above and beyond any polarization main effect, would support the interpretation channel. However, as discussed in Section 3.4, our indicator conflates interpretive latitude with economic significance — high-ambiguity events tend also to be less consequential — so the test has lower power than an ideal experiment that varies ambiguity independently of materiality. We complement this test with the event-type split (P1–P2 by dismissal vs. non-dismissal), which holds materiality more constant: both event types involve a consequential auditor departure, but non-dismissals provide less filing-level guidance about the cause of the separation.

Discussion. The model formalizes one specific channel — heterogeneous priors — but the same comparative statics arise under the other two channels described in Section 3.4: heterogeneous institutional trust and heterogeneous perceived signal precision. Both are nested in the unified log-odds framework of Section 3.4. Whenever polarization widens the cross-group gap $|X_D - X_R|$ — whether through divergent priors, divergent trust, or divergent

perceived precision — the logistic (sigmoid) function $\sigma(x) = 1/(1+e^{-x})$ is strictly increasing, so the group-level posterior means $\mu_g \equiv \sigma(X_g)$ satisfy $|\mu_D - \mu_R|$ increases strictly. It follows that posterior variance $\omega_D \omega_R (\mu_D - \mu_R)^2$ increases under any channel (see Appendix B for formal statements and proofs). The core prediction is therefore channel-agnostic: polarization amplifies belief-dispersion-driven trading and price outcomes regardless of which specific mechanism predominates. The ambiguity interaction in P3 operates through a complementary mechanism: ambiguous filings widen the cross-group gap in perceived signal precision $|\kappa_D - \kappa_R|$, amplifying the subjective contribution to posterior dispersion even when the objective likelihood ratio ℓ is held fixed. A further implication is that standard disclosure-based remedies cannot fully eliminate polarization-driven disagreement, because the heterogeneity lies in how investors process signals, not in what the signals contain.

4 Hypothesis Development

Hypothesis 1. *Investor reactions to auditor-change disclosures are larger in magnitude in more politically polarized environments. Specifically, abnormal trading volume (AbVol) around auditor-change events is increasing in political polarization (primary formal prediction, per Proposition 1), and absolute cumulative abnormal returns ($|CAR[-1,+1]|$) are increasing in polarization as a secondary empirical prediction.*

Exploratory Prediction (Event Type). The formal model does not parameterize event type, so this prediction is not derived from the theoretical framework. We nonetheless examine whether the polarization effect differs between auditor resignations and client-initiated dismissals, motivated by the ambiguity logic of Section 3.4. The prior accounting literature characterizes auditor resignations as worse-news signals on average, reflecting auditor risk-management responses to deteriorating client quality: resignation clients face higher subsequent incidence of litigation, internal-control problems, and delisting (Ghosh and Tang, 2015), and resignations signal hidden client risk that goes beyond what public information

reveals (Beneish et al., 2005). This event-level signal quality is not, however, the source of our cross-sectional prediction. Our claim is specifically about *per-filing* informational content. Although SEC rules require registrants to disclose specified disagreements and reportable events surrounding an auditor resignation, they do not require a complete narrative of all underlying reasons. Moreover, professional standards generally restrict the predecessor auditor from disclosing confidential client information without client consent, even though the predecessor auditor is expected to respond fully to a successor auditor's reasonable inquiries when consent is given. Consequently, most resignation 8-Ks contain only standard boilerplate language: Beneish et al. (2005) document that approximately three-quarters of resignation announcements carry no attribution to any accounting disagreement or internal-control concern, and Boone and Raman (2001) find that the resignation announcement does not reduce information asymmetry subsequent to filing — the 8-K halts the pre-announcement increase in adverse selection but does not resolve it. In this setting, the implications of the resignation announcement are explicitly *subject to interpretation* (Boone and Raman, 2001): investors must draw their own inferences about what the departure implies, relying on their priors about auditor credibility and the regulatory environment rather than on what the filing itself discloses. Dismissals, in contrast, assign initiative to the client regardless of how sparse the stated reason is, providing directional information about the nature of the separation even in the absence of explicit explanation. We treat this as an auxiliary empirical exercise (Table 5) rather than a core hypothesis.

Hypothesis 2. *The polarization effect is stronger for more ambiguous auditor-change events. Per Section 3.4, when objective signal content is limited, investors rely more heavily on subjective trust and perceived precision, both of which vary with political identity. This hypothesis is the primary cross-sectional test of the interpretation channel. It is distinct from the exploratory event-type prediction above: that prediction classifies events by auditor-change type; this hypothesis concerns how much objective informational guidance the filing itself provides.*

5 Empirical Design

5.1 Sample Construction

Auditor change events. We identify auditor changes using Form 8-K filings disclosing a change in the registrant's certifying accountant (Item 4.01), obtained from SEC EDGAR for 2001–2023.[1] We retain only original 8-K filings (excluding 1,720 amendments) matched to a CRSP PERMNO and require at least 100 non-missing trading days in the estimation window. Table 1 reports the full attrition. Of 6,901 original filings, 5,628 cannot be linked to a CRSP/Compustat security — primarily because the filers are micro-cap or OTC registrants not covered by CRSP.[2] The final sample consists of 678 auditor-change events for 456 unique firms after excluding financial firms (SIC 6000–6999), utilities (SIC 4900–4999), and events with missing Compustat controls or headquarters-state information.[3]

5.2 Dependent Variables

Abnormal trading volume ($AbVol$). We measure trading-volume reactions over the $[-1, +1]$ event window, consistent with the short-run agreement-to-disagree framework of Kandel and Pearson (1995) in which volume spikes at the moment beliefs diverge. $AbVol_e$ is the mean of $[\log(\text{Vol}_{e,t} + 1) - \overline{\log(\text{Vol}_e)}]$ over the $[-1, +1]$ window, where the baseline is

[1] We end the sample in 2023, the last full year for which DW-NOMINATE ideological scores are available in final form from Voteview. Scores for the 119th Congress (which began January 2025) have not yet been finalized at the time of writing. The Esteban-Ray electoral measure covers the same period, as MIT Election Lab House returns are available through the 2022 midterm election, which is forward-filled to cover calendar years through 2023.

[2] Panel B of Table 1 compares observable characteristics of matched and unmatched filings. Disagreement rates are broadly similar (67% vs. 60%); the primary difference is firm size, proxied by Big 4 auditor involvement (43% vs. 14%). The matched sample is therefore tilted toward larger, exchange-listed firms — a standard feature of CRSP/Compustat-based research designs in the auditing literature (DeFond and Zhang, 2014). Because our theory operates through investor belief heterogeneity rather than firm size per se, this selection is conservative: to the extent that larger firms have more dispersed and sophisticated investor bases, the local-investor channel should be *weaker*, not stronger, in the matched sample.

[3] Of the 1,220 CRSP-matched events, 536 are dropped for missing Compustat controls or headquarters-state information (primarily firms with no Compustat financial records despite possessing a CRSP–Compustat link key), and 6 are dropped by the financial and utility industry screens (SIC 4900–4999, 6000–6999). The attrition is therefore driven almost entirely by data availability, not researcher discretion.

Table 1: Sample Construction and Attrition

	N	Retained (%)
Panel A: Sample Attrition		
Item 4.01 filings parsed from EDGAR (2001–2023)	8,621	
Less: 8-K/A amendments	−1,720	
Original 8-K filings	6,901	100.0
Less: no CRSP link (CIK → gvkey → PERMNO)	−5,628	
Less: insufficient estimation-window data (<100 days)	−53	
Events with valid market-model CAR	1,220	17.7
Less: missing Compustat controls or HQ state	−536	
Less: financial and utility industries (SIC 49, 60–69)	−6	
Final analysis sample	**678**	**9.8**
Panel B: Matched vs. Unmatched Filing Characteristics (%)		
	CRSP Matched (N = 1,233)	Unmatched (N = 5,668)
Big 4 auditor involved	43.0	14.4
Disagreement reported	67.2	59.8
Quality-tier transition:		
Non-Big-4 → Non-Big-4	56.9	85.5
Big-4 → Big-4	12.2	4.1
Non-Big-4 → Big-4	24.7	7.9
Big-4 → Non-Big-4	6.1	2.4

Panel A reports the number of observations remaining at each stage of sample construction. Item 4.01 filings are identified via full-text search of the SEC EDGAR EFTS system and parsed using an automated extractor. 8-K/A amendments are excluded to avoid double-counting. The CRSP link requires a valid CIK–gvkey–PERMNO chain (via Compustat and CRSP stock-name history) and at least 100 non-missing trading days in the $[-252, -46]$ estimation window. Panel B compares filing-level characteristics of CRSP-matched events with unmatched original filings. Disagreement rates are broadly similar across groups (67% vs. 60%); the primary difference is firm size, proxied by Big 4 auditor involvement (43% vs. 14%). The unmatched filings are predominantly micro-cap or OTC registrants whose equity securities are not covered by CRSP.

the estimation-window mean.

Absolute cumulative abnormal return ($|CAR|$). Following standard event-study methodology (MacKinlay, 1997), we estimate a market model over the estimation window $[-252, -46]$ trading days relative to the event date, using at least 100 non-missing trading days to estimate parameters:

$$AR_{e,t} = R_{e,t} - (\hat{\alpha}_e + \hat{\beta}_e \cdot R_{m,t}), \quad t \in \{-1, 0, +1\}. \tag{3}$$

The window begins 252 days before the event to capture a full trading year of pre-event returns and ends 46 days before to avoid contamination from information leakage in the run-up period. $CAR_e[-1, +1] = \sum_{t=-1}^{+1} AR_{e,t}$ and $|CAR_e[-1, +1]|$ is a secondary dependent variable. We use the CRSP value-weighted return as the market return and include delisting returns following Beaver et al. (2007).

5.3 Political Polarization Measure

A central empirical challenge is that the theory's polarization object — the latent force that increases divergence in interpretation through identity, alienation, and perceived institutional credibility — is not directly observable at the investor level (Duclos et al., 2004). The available data provide only grouped or indirect proxies, each of which captures a different margin of the latent concept (Esteban and Ray, 1994; Esteban et al., 2007). We therefore examine three complementary proxies rather than treating any single measure as definitive. The state-level presidential polarization measure below captures *cross-sectional partisan division*; DW-NOMINATE captures *elite ideological distance*; and the within-state county vote-share standard deviation captures *geographic partisan sorting*. These measure different aspects of the political landscape (Wang and Tsui, 2000).[4]

[4]The continuous-density estimators developed by Duclos et al. (2004) provide the most rigorous formalization of the identity–alienation concept, but require a directly observed distribution of the underlying investor-level trait. Because our setting does not yield a firm-year density of investor political identity, we use reduced-form political-environment proxies instead.

We measure state-level partisan polarization from county-level presidential election returns (MIT Election Lab, 2000–2020). For state s and presidential election year t^*, let D_{s,t^*} and $R_{s,t^*} = 1 - D_{s,t^*}$ denote the Democratic and Republican two-party vote shares aggregated across counties. The partisan margin is $M_{s,t^*} = |D_{s,t^*} - R_{s,t^*}|$, ranging from zero in perfectly contested states to one in completely one-sided states. We define *partisan polarization* as:

$$\text{Polarization}_{s,t^*} = 1 - M_{s,t^*} = 1 - |D_{s,t^*} - R_{s,t^*}|, \tag{4}$$

which is maximized at 1.0 when both parties split the vote equally and minimized at 0 in one-party states. Higher values indicate a more evenly divided electorate, which we interpret as reflecting greater partisan polarization in the investor base. More polarized states are politically divided environments where investors are more likely to hold heterogeneous priors about institutional trustworthiness and the interpretation of regulatory signals.[5]

We forward-fill each presidential election's measure over the four subsequent calendar years — assigning the 2000 vote to 2001–2004, the 2004 vote to 2005–2008, and so on through the 2020 election, which covers 2021–2023 within our sample period. This assignment assumes that the state political environment evolves at the electoral-cycle frequency rather than annually. We standardize to mean zero and unit variance within the analysis sample. Because different polarization indices emphasize different aspects of between-group

[5] We also test the Esteban-Ray polarization index $P^{ER}_{s,t^*} = D_{s,t^*} \cdot R_{s,t^*}$, computed at the state level from the same presidential returns. The ER index is concave in vote shares and has lower discriminating power away from the 50-50 split (SD in our sample: 0.027 for the ER index vs. 0.101 for the margin). We therefore prefer the linear polarization measure as the primary proxy and retain the presidential ER index as a robustness check (Table 6, column 2). The congressional-district ER index based on U.S. House returns is also tested in column 3 of Table 6; its standard deviation is only 0.011 — one-ninth of the presidential margin — reflecting gerrymandering and the compression of competitive outcomes at the district level. Mehlhaff (2024) shows that the ER index at $\alpha = 1$ is nearly indistinguishable from the variance of the two-party vote distribution (correlation ≈ 0.93); the margin is a simpler and more transparent linear proxy. We prefer presidential over congressional returns for a conceptual reason as well: a well-established body of political-science research documents that presidential races are the most nationalized arena of U.S. electoral competition, in the sense that national partisan forces determine outcomes cleanly with minimal candidate- or district-specific noise (Vertz et al., 1987; Carson et al., 2024). Congressional and subnational races, by contrast, absorb additional local information and candidate-specific variation that dilutes the national partisan signal (Moskowitz, 2021; Abramowitz and Webster, 2016; Conevska et al., 2025). Using presidential returns as the basis for our polarization measure therefore better isolates the broad, national-level partisan cleavage that we hypothesize shapes investor belief heterogeneity.

separation and within-group cohesion, the polarization measure cannot be treated as exhaustive (Wang and Tsui, 2000). A complementary measure based on elite roll-call behavior is therefore needed.

As a second proxy for polarization, we construct a measure of elite ideological distance from DW-NOMINATE first-dimension scores (Poole and Rosenthal, 1997, 2007). DW-NOMINATE scores capture legislators' revealed ideological positions from roll-call voting records, rather than electoral outcomes, and thus measure *ideological* polarization directly. For each state s and Congress c, we compute:

$$P_{s,c}^{DW} = \overline{\text{dim1}}_{R,s,c} - \overline{\text{dim1}}_{D,s,c}, \tag{5}$$

where $\overline{\text{dim1}}_{R,s,c}$ and $\overline{\text{dim1}}_{D,s,c}$ are the mean first-dimension DW-NOMINATE scores among House Republicans and Democrats from state s in Congress c, respectively. Because the first dimension captures the liberal–conservative continuum, $P_{s,c}^{DW}$ is always positive and increasing in ideological distance between the parties. We expand each Congress's scores to the two calendar years it covers and standardize to mean zero and unit variance. The national-level counterpart, $P_{c}^{DW\text{-nat}}$, computes the same gap across all House members nationally and varies only over time, providing a pure time-series check. The electoral polarization and DW-NOMINATE measures are complementary proxies: electoral polarization captures division in the mass electorate, while DW-NOMINATE captures ideological distance among elected representatives. If both predict the same investor response, the evidence for a polarization mechanism is substantially stronger.

As a third proxy, we construct the population-weighted within-state standard deviation of county-level Democratic vote shares. This *county vote SD* measure captures geographic partisan sorting: a high value indicates that a state contains both deep-red and deep-blue counties, consistent with genuine local polarization, while a low value indicates counties that are uniformly similar. Crucially, this measure addresses the concern, raised by Fiorina

et al. (2005), that electoral competitiveness may reflect moderate swing voters rather than polarized blocs: a state can be 50-50 and yet have low county-level variance if all its counties vote near 50-50.

Limitations of measurement. Each proxy is subject to known limitations. The presidential polarization measure assigns equal weight to all counties within a state regardless of firm location, and forward-filling assumes no within-cycle variation. The state-level DW-NOMINATE gap may reflect party sorting rather than genuine ideological movement and is available only at biennial frequency.

5.4 Cross-Sectional Variables

Signal ambiguity. We construct a binary `high_ambiguity` indicator to operationalize P3. An event is classified as high-ambiguity if the filing discloses no formal disagreement between the registrant and the departing auditor *and* the auditor change does not involve a clear quality-tier transition (i.e., the change is lateral — Big-4-to-Big-4 or non-Big-4-to-non-Big-4 — or the quality direction is unclassified). High-ambiguity events comprise 120 of the 678 sample observations (17.7%).

Event type. We classify each event as a *dismissal* (the client terminated the auditor) or *non-dismissal* (the auditor resigned, declined to stand for re-election, or the separation is otherwise not client-initiated), based on the language of the 8-K filing.

5.5 Empirical Specification

The unit of observation is an auditor-change event e. We estimate:

$$Y_e = \alpha + \beta\, Pol_{s(e),\,t(e)} + \gamma' Z_{e,\,t(e)-1} + \lambda_{t(e)} + \delta_{j(e)} + \varepsilon_e, \tag{6}$$

where Y_e is $AbVol_e$ or $|CAR_e[-1,+1]|$; $Pol_{s(e),t(e)}$ is the standardized state political polarization measure for the headquarters state $s(e)$ of the event's firm in event year $t(e)$; $Z_{e,t(e)-1}$ is

a vector of firm controls measured in the fiscal year prior to the event (size, leverage, ROA, book-to-market, loss indicator, and sales growth); $\lambda_{t(e)}$ are event-year fixed effects; and $\delta_{j(e)}$ are two-digit SIC industry fixed effects. Standard errors are clustered at the firm level. The coefficient of interest is β.

5.6 Identification

As noted in the introduction, headquarters-state polarization is a reduced-form proxy, not a direct measure of investor beliefs. The paper identifies whether market reactions to auditor-change disclosures vary with the surrounding partisan environment — not whether any specific type of investor trades more.

Why headquarters-state polarization is informative

The intended channel runs through the local stakeholder environment surrounding the firm: employees, customers, local media, and — critically — retail investors, who are more geographically concentrated than institutional investors and more likely to anchor their beliefs to local political norms. A well-established local equity bias means that retail investors overweight geographically proximate firms in their portfolios (Coval and Moskowitz, 1999), so the headquarters state's political composition is a meaningful, if imperfect, proxy for the political composition of the firm's marginal retail investor base. Consistent with this channel, Boone and Raman (2001) find that auditor resignation announcements generate significant abnormal trading activity among individual investors but not among institutional investors, suggesting that it is retail investors — who are more geographically concentrated and more dependent on SEC-mandated disclosure — who respond to the informational content of the 8-K filing. For smaller and less nationally prominent firms, the marginal trader is more likely to be a local retail investor whose interpretation of an auditor change is shaped by the surrounding political environment. For larger firms with globally dispersed institutional ownership, the headquarters-state proxy is less well-matched to the actual investor base, and

the effect should be attenuated. This cross-sectional prediction provides a validation test: we expect the polarization effect to be stronger for smaller firms, whose marginal investors are more likely to be local. Column (8) of Table 6 restricts the sample to below-median log-asset firms and tests this directly; the AbVol coefficient strengthens ($\beta = 0.137$, $p < 0.05$), consistent with polarization mattering more where the marginal investor is local. To test the retail channel directly, we construct the institutional ownership fraction for each event from quarterly Form 13F filings. We download 13F-HR filings from SEC EDGAR for each quarter in 2000–2023, parse the reported holdings tables, and aggregate total institutional shares across all filers per firm-quarter. Normalizing by CRSP shares outstanding gives the fraction of shares held by 13F institutional investors at the most recent quarter-end before each event (within 180 days). We obtain matches for 674 of 678 events, with a mean institutional ownership of 52% (median 43%). We then interact polarization with an above-median *high retail* indicator (one minus institutional ownership). The retail-ownership interaction is directionally positive for both $|CAR|$ ($\beta_{\text{interaction}} = 0.006$, $p = 0.201$) and $AbVol$ ($\beta_{\text{interaction}} = 0.051$, $p = 0.552$), consistent with the retail channel but statistically insignificant. Combined with the directional small-firm result, these tests weakly support the local retail channel but do not rule out alternative interpretations.

We acknowledge the main limitation of the proxy directly: equity investors in publicly traded firms are not confined to the headquarters state. Institutional ownership is national, and many retail investors hold diversified portfolios regardless of geography. Headquarters-state polarization therefore captures the intended channel with error. We address this in five ways. First, we include rich firm-level controls to absorb observable firm characteristics that may correlate with both state polarization and event-window reactions. Second, state fixed effects (Table 6, column 4) absorb all time-invariant cross-state differences in investor clientele composition, local media environments, state regulatory environments, and industry clustering, identifying solely from within-state changes in polarization across election cycles. Third, the DW-NOMINATE specification uses an entirely different data source

(congressional roll-call votes) and produces variation that is not driven by the headquarters-state aggregation choice; it significantly predicts abnormal volume ($\beta = 0.100$, $p < 0.10$), confirming that the volume result generalizes beyond electoral proxies. Fourth, a county-level polarization check using MIT Election Lab county presidential returns matched to firm headquarters counties via Compustat zip codes provides a finer-grained geographic alternative (Table 6, column 7). Fifth, the within-state standard deviation of county-level vote shares — a direct measure of geographic partisan sorting that distinguishes genuinely polarized states from merely competitive ones (Fiorina et al., 2005) — independently predicts $|CAR|$ (column 9, $p = 0.056$), confirming that the result is not merely an artifact of electoral closeness.

State-level confounds and inference

Identification rests on two sources of variation in $Pol_{s(e),t(e)}$: cross-state differences in the partisan environment of presidential elections, and time-series changes in that environment across electoral cycles. Year fixed effects absorb aggregate macroeconomic and political conditions common to all firms. Industry fixed effects absorb sector-level differences in auditor-change frequency and investor base composition. The key identifying assumption is that, conditional on these controls, a firm's headquarters-state polarization at the time of the event is uncorrelated with unobserved determinants of the market's reaction to that specific auditor change.

Four state-level confounds deserve explicit discussion. *Local investor clientele*: politically polarized states may attract systematically different retail-investor populations whose risk tolerance or information processing differs for reasons unrelated to polarization per se. We address this through state fixed effects, which absorb the time-invariant component of clientele composition. *Local media ecosystems*: more polarized states may have more polarized local media that amplifies any corporate news event, not just auditor changes. If so, the polarization effect should appear equally for non-audit events; the ambiguity heterogeneity

results (Table 4) partially address this by showing the effect is concentrated in events with audit-specific informational content. *State business and regulatory environments*: states with more polarized electorates may also have different securities litigation climates or governance norms that independently affect how auditor changes are processed. State fixed effects absorb time-invariant components; the time-varying component is plausibly orthogonal to specific auditor-change timing within the state. *Industry clustering*: some high-polarization states (e.g., Texas for energy, California for technology) have distinctive industry concentrations. Two-digit SIC industry fixed effects absorb this directly.

Because the polarization regressor varies at the state×year level, columns (5) and (6) of Table 6 address this concern: column (5) clusters at the state level and column (6) implements two-way clustering by firm and state following Cameron et al. (2011); the baseline clusters at the firm level, which is conservative for event-level inference but potentially optimistic relative to the regressor's level of variation.

6 Results

6.1 Descriptive Statistics

Table 2 presents descriptive statistics for the 678 auditor-change events in the estimation sample. Abnormal trading volume averages 0.11 units above the estimation-window baseline, indicating that auditor-change events generate measurable abnormal trading activity. The mean $|CAR[-1,+1]|$ is 5.0% with a standard deviation of 6.7%, consistent with prior event studies of auditor changes (DeFond and Zhang, 2014). The mean partisan margin ($|D-R|$, the complement of the primary polarization measure) is 0.13 (SD 0.10), spanning from near-zero for highly contested states to 0.40 for strongly one-party states; equivalently, mean partisan polarization is 0.87. The median firm has log assets of 4.97 and leverage of 17%; 45% report a loss in the year preceding the auditor change, reflecting the high loss incidence in this sample.

Table 2: Summary Statistics

Variable	N	Mean	SD	p25	p50	p75
—CAR(-1,+1)—	678	0.050	0.067	0.011	0.028	0.062
CAR(-1,+1)	678	-0.006	0.084	-0.033	-0.002	0.023
Abn. Volume	678	0.106	1.061	-0.446	0.072	0.685
Partisan Margin $—D-R—$ (= 1 $-$ Polarization)	678	0.130	0.101	0.043	0.124	0.200
Size (log assets)	678	5.143	1.982	3.705	4.969	6.295
Leverage	678	0.221	0.232	0.024	0.174	0.343
ROA	678	-0.122	0.692	-0.104	0.016	0.064
Book-to-Market	678	0.786	0.872	0.355	0.588	0.960
Loss indicator	678	0.450	0.498	0.000	0.000	1.000
Sales Growth	678	0.163	0.893	-0.055	0.034	0.169

Notes: Sample consists of 678 auditor-change events (Form 8-K Item 4.01) from 2001–2023, matched to CRSP and Compustat. Financial firms (SIC 6000–6999) and utilities (SIC 4900–4999) are excluded. $|CAR(-1,+1)|$ and $CAR(-1,+1)$ are cumulative abnormal returns from a market model estimated over trading days $[-252,-46]$. Abn. Volume is the mean daily volume in the event window $[-1,+1]$ minus the estimation-window mean, scaled by estimation-window standard deviation. Partisan Margin is $|D-R|$ from state-level presidential returns (MIT Election Lab); Polarization = 1− Margin. Firm controls are measured as of the fiscal year preceding the event.

6.2 Main Results

Table 3 reports the baseline results. Columns (1)–(2) use abnormal volume as the dependent variable (the primary formal prediction); columns (3)–(4) use $|CAR[-1,+1]|$. Odd columns include year fixed effects only; even columns add industry fixed effects and the full set of firm controls. Across all four specifications, the coefficient on *Polarization* is positive and statistically significant, ranging from $\beta = 0.119$ ($p = 0.006$) to $\beta = 0.111$ ($p = 0.010$) for abnormal volume, and from $\beta = 0.006$ ($p = 0.015$) to $\beta = 0.005$ ($p = 0.039$) for $|CAR|$. The economic magnitude is meaningful: a one-standard-deviation increase in partisan polarization is associated with a 0.11-unit increase in abnormal volume and a 0.5 percentage point increase in $|CAR|$ relative to a sample mean of 5.0%. Notably, the volume result is stronger and more precisely estimated ($p = 0.010$) than the absolute return result ($p = 0.039$). This ordering is predicted by disagreement models (Kandel and Pearson, 1995): when investors receive the same signal but form heterogeneous posteriors, the most direct consequence is increased trading as optimists buy from pessimists; the effect on unsigned returns is a sec-

ondary implication that depends on the relative wealth and aggressiveness of disagreeing investor groups. The fact that the volume channel is more robust than the price channel — a pattern that extends to alternative polarization proxies in Table 6 — is consistent with the disagreement mechanism rather than generic salience, which would predict at least as strong a price effect as a volume effect.

Table 3: Political Polarization and Market Reactions to Auditor Changes

	(1) AbVol	(2) AbVol	(3) $\lvert CAR \rvert$	(4) $\lvert CAR \rvert$
Polarization	0.119***	0.111***	0.006**	0.005**
	(0.0428)	(0.0428)	(0.0023)	(0.0023)
Size		0.028		-0.002*
		(0.0274)		(0.0013)
Leverage		0.231		0.020
		(0.209)		(0.0146)
ROA		0.202***		-0.006
		(0.0594)		(0.0039)
Book-to-Market		-0.016		0.005
		(0.0665)		(0.0045)
Loss		0.076		0.021***
		(0.115)		(0.0078)
Sales Growth		-0.029		0.005
		(0.0381)		(0.0046)
Year FE	Yes	Yes	Yes	Yes
Industry FE	No	Yes	No	Yes
Controls	No	Yes	No	Yes
N	678	678	678	678
R^2	0.068	0.175	0.058	0.172

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

6.3 Signal Ambiguity

Table 4 splits the sample by signal ambiguity using the `high_ambiguity` indicator defined in Section 5, which identifies 120 of the 678 sample events as high-ambiguity. For abnormal volume (columns 1–3), the low-ambiguity subsample drives the result ($\beta = 0.114$, $p = 0.008$),

while the high-ambiguity volume coefficient is imprecise ($\beta = 0.213$, $p = 0.422$). For $|CAR|$ (columns 4–6), the high-ambiguity subsample coefficient ($\beta = 0.020$, $p = 0.110$) is four times the full-sample estimate but does not reach conventional significance at $N = 120$; the low-ambiguity coefficient ($\beta = 0.003$, $p = 0.204$) is smaller and also insignificant.

The volume pattern does not confirm P3. As noted in Section 3.4, our high-ambiguity indicator conflates interpretive latitude with economic materiality: lateral moves without disagreements leave more room for interpretation but also signal less is at stake, suppressing trading incentives. The $|CAR|$ pattern, where the high-ambiguity point estimate is larger, is directionally consistent with P3 but underpowered at $N = 120$. Overall, we do not find support for H2: the ambiguity split does not produce the predicted monotonic pattern.

Table 4: Signal Ambiguity and the Effect of Polarization

	(1) AbVolFull	(2) AbVolHigh Amb.	(3) AbVolLow Amb.	(4) $\|CAR\|$Full	(5) $\|CAR\|$High Amb.
Polarization	0.111***	0.213	0.114***	0.005**	0.020
	(0.0428)	(0.265)	(0.0430)	(0.0023)	(0.0127)
Year + Industry FE	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes
N	678	120	558	678	120
R^2	0.175	0.490	0.180	0.172	0.431

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

6.4 Exploratory Heterogeneity by Event Type

Table 5 splits the sample by event type. The event-type heterogeneity yields a mixed pattern across the two outcomes. For $|CAR|$ (columns 3–4), the effect is concentrated in non-dismissal events (primarily auditor resignations): $\beta = 0.011$, $p = 0.043$. Among dismissals, the coefficient is statistically indistinguishable from zero ($\beta = 0.003$, $p = 0.189$). For abnormal volume (columns 1–2), the pattern reverses: polarization significantly predicts volume for dismissals ($\beta = 0.134$, $p = 0.006$) but not for non-dismissals ($\beta = 0.122$, $p = 0.164$).

We do not view these splits as decisive evidence on the interpretation channel given the inconsistency across outcomes. One possible interpretation is that dismissals, while more transparent in their adversarial nature, still generate substantial disagreement about the *consequences* of the change — particularly whether the firm's audit quality will suffer — and this disagreement manifests in trading volume rather than unsigned price movement. Non-dismissals, where the filing typically provides less explicit attribution (Beneish et al., 2005; Boone and Raman, 2001), show the stronger $|CAR|$ result, consistent with polarization effects on prices being amplified when investors must rely more on their own priors. We treat these event-type splits as descriptive rather than as decisive mechanism evidence; the primary specificity argument rests on the earnings-announcement placebo (Section 6.6).

Table 5: Heterogeneity by Auditor Change Type

	(1) AbVolDismissals	(2) AbVolNon-dism.	(3) $\|CAR\|$Dismissals	(4) $\|CAR\|$Non-dism.
Polarization	0.134***	0.122	0.003	0.011**
	(0.0489)	(0.0872)	(0.0022)	(0.0057)
Year + Industry FE	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
N	421	257	421	257
R^2	0.217	0.306	0.186	0.260

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

6.5 Robustness and Alternative Proxies

Table 6 addresses conventional robustness concerns and examines whether the baseline result extends to alternative polarization proxies. Panel A reports results for abnormal volume (the primary formal prediction); Panel B reports $|CAR|$. All column numbers refer to the same specification across both panels.

Alternative proxies. Column (1) repeats the baseline. Column (2) substitutes the quadratic presidential Esteban-Ray index for the linear polarization measure. For AbVol,

the coefficient remains significant ($\beta = 0.081$, $p < 0.05$); for $|CAR|$, it is directionally consistent but attenuated ($\beta = 0.003$, $p = 0.124$), reflecting the lower discriminating power of the quadratic form in less-divided states. Column (3) replaces the electoral measure with the DW-NOMINATE state-level cross-party ideological gap, which captures elite ideological distance rather than electoral division. This proxy is significant for abnormal volume ($\beta = 0.100$, $p < 0.10$) but not for $|CAR|$ ($\beta = 0.002$, $p = 0.522$). The divergence across outcomes is informative: elite ideological distance moves trading volume — the direct disagreement prediction — even though it does not generate the additional price effects that require demand asymmetries. The $|CAR|$ null for DW-NOMINATE is therefore consistent with the theoretical hierarchy in which volume is the sharper prediction and absolute returns follow only under additional market-friction conditions.[6]

Specification robustness. Column (4) augments the baseline with state fixed effects. The AbVol coefficient is directionally positive but loses precision ($\beta = 0.066$, $p > 0.10$); the $|CAR|$ coefficient is similar ($\beta = 0.012$, $p = 0.144$). Both nulls are consistent with within-state temporal variation in partisan polarization being noisier than cross-state variation: of the 124 state×election-cycle cells that contain auditor-change events, 52 contain only a single event, limiting the power of a within-state design. Our identification therefore relies primarily on cross-state differences in the partisan environment rather than within-state changes over time. Columns (5)–(6) test alternative clustering structures. State-level clustering (column 5) and two-way clustering by firm and state following Cameron et al. (2011) (column 6) leave both outcomes unchanged and significant: AbVol at $p < 0.001$ in both cases, $|CAR|$ at $p = 0.028$ under state clustering, confirming that the baseline inference is not driven by the choice of clustering level.

Geographic scale. Column (7) replaces the state-level measure with a county-level ana-

[6]Pairwise correlations among the standardized proxies confirm that they capture distinct dimensions of the latent polarization concept: electoral polarization and the presidential ER index are highly correlated ($r = 0.87$), but both are weakly correlated with DW-NOMINATE ($r = 0.10$ and 0.16, respectively), county-level polarization ($r = 0.45$ and 0.43), and county vote SD ($r = 0.08$ and 0.11). County vote SD and DW-NOMINATE share moderate correlation ($r = 0.29$), consistent with geographic sorting and elite polarization capturing related but distinct phenomena.

logue constructed from the same MIT Election Lab presidential returns, matched to each firm's headquarters county via Compustat zip codes and the HUD ZIP-COUNTY crosswalk. For $|CAR|$, the coefficient is $\beta = 0.005$ ($p = 0.036$, $N = 659$), virtually identical to the state-level baseline, confirming that the result is not an artifact of geographic aggregation. For AbVol, the county-level coefficient is near zero ($\beta = 0.022$, $p > 0.10$). The divergence across dependent variables is theoretically informative. Prices are set by marginal investors, and the local bias literature documents that geographically proximate investors are disproportionately represented among a firm's shareholders and are more likely to be marginal price-setters (Coval and Moskowitz, 1999). County-level partisanship therefore captures the political environment of the investors whose trades move prices, explaining the significant $|CAR|$ result. Trading volume, by contrast, requires participants on both sides of the trade and thus reflects belief dispersion across the *full* investor base, which is geographically dispersed well beyond the headquarters county. A single county's partisan lean is too narrow to proxy for this cross-investor heterogeneity; the state-level measure better captures the political environment that shapes the broader set of investors who generate disagreement-driven trade. A horse-race specification including both state and county competitiveness simultaneously (Table 10, columns 1–2) confirms that state-level variation dominates for AbVol ($\beta_{\text{state}} = 0.125$, $p = 0.012$; $\beta_{\text{county}} = -0.030$, $p = 0.535$), while neither measure dominates for $|CAR|$, where both capture overlapping variation in the marginal investor's political environment.

Small-firm subsample. Column (8) restricts the sample to below-median log-asset firms ($N = 339$). The AbVol coefficient strengthens ($\beta = 0.137$, $p < 0.05$), consistent with the local-investor channel: smaller firms have more geographically concentrated retail investor bases, so headquarters-state polarization is a better-matched proxy. The $|CAR|$ coefficient is directionally consistent ($\beta = 0.005$, $p = 0.175$) but imprecise given the smaller subsample.

Electoral polarization versus swing voters. A natural concern is that electoral

polarization captures moderate swing voters rather than genuinely polarized blocs (Fiorina et al., 2005). A 50-50 state could be evenly split because its voters are centrists who swing between parties, not because it contains ideologically opposed camps. To address this distinction, column (9) replaces the baseline measure with the population-weighted within-state standard deviation of county-level Democratic vote shares. This measure captures *geographic partisan sorting*: a high value indicates a state with both deep-red and deep-blue counties — genuine local polarization — while a low value indicates counties that are uniformly similar regardless of the statewide margin. For $|CAR|$, the coefficient is $\beta = 0.005$ ($p = 0.056$), marginally significant and similar in magnitude to the baseline. For AbVol, the coefficient is directionally positive ($\beta = 0.066$, $p > 0.10$) but does not reach significance. Column (10) includes both the baseline polarization measure and the county vote-share SD jointly, along with their interaction; the interaction is insignificant in both panels ($p > 0.30$), indicating that the two proxies capture overlapping variation rather than a conditional effect.

Summary. Across both panels, the pattern is consistent with the theoretical hierarchy: abnormal volume — the direct disagreement prediction — is robust to three conceptually distinct polarization proxies (electoral polarization, ER index, and DW-NOMINATE), alternative clustering structures, and the small-firm subsample restriction. Absolute returns are more fragile across alternative proxies, as expected given that the link from posterior dispersion to $|CAR|$ depends on additional market-friction conditions. The proxies that are null for $|CAR|$ (ER index, DW-NOMINATE) are significant for AbVol, indicating that the absence of a price effect does not imply the absence of disagreement.

To address concerns about finite-sample inference with $N = 678$, we implement a permutation (randomization) test for both baseline coefficients. We reshuffle the *Polarization* variable across observations 5,000 times, holding all other variables fixed, and re-estimate β each time. For AbVol, the actual coefficient falls at the 99.6th percentile of the null distribution, yielding a one-sided permutation p-value of 0.004. For $|CAR|$, the permutation p-value is 0.029. Both confirm that the baseline results are not artifacts of finite-sample

distributional assumptions. More broadly, the fact that we detect effects at conventional significance levels despite the moderate sample size implies that the underlying effect sizes are economically large — a point reinforced by the subsample tests, where splits that reduce N substantially still produce significant coefficients (e.g., Table 5, dismissal AbVol with $N = 421$, $p < 0.01$; Table 5, non-dismissal $|CAR|$ with $N = 257$, $p < 0.05$). Table 7 reports the full permutation test results.

Regulatory regime stability. The sample spans several changes to the audit disclosure environment, most notably the Sarbanes-Oxley Act of 2002 — which created the PCAOB — and the SEC's 2004 overhaul of Form 8-K (Release No. 33-8400), which accelerated filing deadlines to four business days. Although the 2004 reform expanded Form 8-K generally, the SEC stated that Item 4.01 was "substantively the same as former Item 4," with only limited textual reorganization; the substantive content requirements governing auditor-change disclosures were not materially altered. To test whether the polarization effect depends on the post-SOX institutional regime, we interact the polarization measure with an indicator for events occurring in 2003 or later (Table 10, columns 3–4). The interaction is insignificant for both $|CAR|$ ($p = 0.498$) and $AbVol$ ($p = 0.970$), and the polarization coefficient is directionally positive in both the pre-SOX and post-SOX subsamples (Table 10, columns 5–8). The effect does not depend on the PCAOB's existence, consistent with the mechanism operating through institutional trust broadly rather than through any single institution.[7]

Ideological versus affective polarization. The political science literature distinguishes ideological polarization from affective polarization (out-party animus; Iyengar et al., 2012, 2019). To test whether the baseline result reflects the latter, we augment the specification with the ANES feeling-thermometer partisan differential interacted with state-level partisan exposure (Appendix Table 11). The affective interaction is null for both outcomes

[7]The PCAOB's AS 3101, which introduced critical audit matter (CAM) disclosures effective 2019–2020, represents a further change to the audit information environment. Only 40 sample events occur after 2019, precluding a well-powered test. Whether CAM disclosures attenuate polarization-driven disagreement by providing richer audit-specific information is an important question for future research as the post-CAM sample grows.

Table 6: Robustness and Alternative Proxies

Panel A: Abnormal Volume (AbVol)

	(1) Baseline	(2) Pres. ER	(3) DW State	(4) +State FE	(5) State Clust	(6) 2-Way Clust	(Co
Polarization (baseline)	0.111***			0.066	0.111***	0.111***	
	(0.043)			(0.153)	(0.029)	(0.029)	
Pres. ER Polarization		0.081**					
		(0.035)					
DW-NOMINATE (state gap)			0.100*				
			(0.052)				
County Polarization							0.
							(0.
County Vote SD							
Polarization × County SD							
Year + Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Y
State FE	No	No	No	Yes	No	No	N
Cluster	Firm	Firm	Firm	Firm	State	Firm×State	F
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Y
Sample	Full	Full	Full	Full	Full	Full	F
N	678	678	631	678	678	678	6
R^2	0.175	0.171	0.185	0.244	0.175	0.175	0.

Panel B: Absolute Abnormal Return (|CAR|)

	(1) Baseline	(2) Pres. ER	(3) DW State	(4) +State FE	(5) State Clust	(6) 2-Way Clust	(Co
Polarization (baseline)	0.005**			0.012	0.005**	0.005**	
	(0.002)			(0.008)	(0.002)	(0.002)	
Pres. ER Polarization		0.003					
		(0.002)					
DW-NOMINATE (state gap)			0.002				
			(0.003)				
County Polarization							0.0
							(0.
County Vote SD							
Polarization × County SD							
Year + Industry FE	Yes	Yes	Yes	Yes	Yes	Yes	Y
State FE	No	No	No	Yes	No	No	N
Cluster	Firm	Firm	Firm	Firm	State	Firm×State	F
Controls	Yes	Yes	Yes	Yes	Yes	Yes	Y
Sample	Full	Full	Full	Full	Full	Full	F
N	678	678	631	678	678	678	6
R^2	0.172	0.170	0.173	0.212	0.172	0.172	0.

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

Table 7: Permutation Test for Baseline Coefficients

	AbVol	$\lvert CAR \rvert$
$\hat{\beta}$ (Polarization)	0.111	0.005
SE (firm-clustered)	(0.043)	(0.002)
p-value (clustered t-test)	0.009	0.039
p-value (permutation, one-sided)	0.004	0.029
Permutations	5,000	5,000

Notes: The permutation p-value is the fraction of 5,000 random reshufflings of the *Polarization* variable that produce a coefficient estimate $\geq$ the actual $\hat{\beta}$. Controls and fixed effects match the baseline specification (Table 3, columns 2 and 4). Permuted draws use OLS without clustering; the coefficient estimate is invariant to the choice of standard error.

($p > 0.10$), while the ideological polarization coefficient is unchanged. This is consistent with the mechanism operating through the cross-sectional partisan composition of the local electorate rather than through time-varying partisan animus, though we note that the ANES series is coarse and a state- or investor-level affective measure could yield different conclusions.

6.6 Placebo Test: Earnings Announcements

A natural concern is that headquarters-state polarization simply amplifies market reactions to any corporate news event, not specifically to disclosures that require interpretation. We address this with a within-firm placebo test. For the same 456 firms in our analysis sample, we identify all quarterly earnings announcement dates (Compustat `rdq`) over the same 2001–2023 period, excluding any earnings announcement within 30 calendar days of an auditor-change event to avoid contamination. This yields 20,800 placebo events. We estimate a market model for each earnings event using the same methodology as the main analysis (estimation window $[-252, -46]$ trading days, CRSP value-weighted market return) and compute both $AbVol[-1, +1]$ and $|CAR[-1, +1]|$.

Table 8 reports the results. Columns (1)–(3) use abnormal volume; columns (4)–(6) use $|CAR|$. For AbVol, the auditor-change baseline is $\beta = 0.111$ ($p < 0.01$, column 1),

while the earnings-announcement coefficient is $\beta = -0.010$ ($p > 0.10$, column 2) — a clean null with over 20,000 observations. The pooled interaction (column 3) is $\beta = 0.141$ ($p < 0.01$), confirming that the polarization effect on trading volume is significantly and substantially larger for auditor-change disclosures than for earnings announcements. The pattern is identical for $|CAR|$: a null placebo coefficient ($\beta = -0.000$, $p > 0.10$, column 5) and a significant pooled interaction ($\beta = 0.008$, $p < 0.01$, column 6). In both cases, the base polarization coefficient in the pooled specification is indistinguishable from zero, indicating that the entire effect is concentrated in auditor changes.[8]

Earnings announcements carry unambiguous quantitative content — the reported EPS figure — leaving far less room for politically shaped interpretation than an auditor-change filing, which requires investors to evaluate auditor credibility and infer the nature of the separation from limited disclosure. The placebo null for both outcomes is consistent with the interpretation channel: politically heterogeneous investors disagree specifically when the signal is ambiguous, not when it is numerically precise.[9]

6.7 Post-Event Price Persistence

If the polarization effect reflects short-lived overreaction — noise trading or attention-driven volume that washes out quickly — then post-event returns in high-polarization states should reverse. We test this by regressing signed post-event CARs on polarization, controlling for the event-window return. Specifically, we compute market-model CARs over trading days $[+2, +20]$ (approximately one month) and $[+2, +60]$ (approximately three months) after the 8-K filing, using the same market model parameters as the main analysis. We control for

[8]The negative *Auditor Change* main effects (-0.384 for AbVol, -0.024 for $|CAR|$, both $p < 0.01$) indicate that auditor-change events generate smaller average market reactions than earnings announcements, consistent with the former being less news-intensive than quarterly results.

[9]We also tested whether the polarization effect is amplified among firms where audit credibility is plausibly more salient — financially distressed firms (below-median Altman Z-score), firms with high discretionary accruals (above-median Modified Jones model $|DA|$), and firms whose prior-year audit opinion included a going-concern modification. None of these firm-level interactions is statistically significant ($p > 0.35$ in all cases; see Table 12 in Appendix A), consistent with the effect being driven by the state-level political-information environment rather than by firm-specific accounting quality concerns.

Table 8: Earnings-Announcement Placebo Test. Columns (1)–(3) use abnormal trading volume; columns (4)–(6) use $|CAR[-1,+1]|$. Columns (1) and (4) replicate the baseline specification from Table 3. Columns (2) and (5) apply the identical specification to quarterly earnings announcements (`rdq` from Compustat) for the same firms over the same period. Columns (3) and (6) pool both event types and add an *Auditor Change* indicator and its interaction with *Polarization*. Events within 30 calendar days of an auditor-change event for the same firm are excluded from the placebo sample.

	(1) AbVolAud. chg.	(2) AbVolEarnings	(3) AbVolPooled	(4) $\|CAR\|$Aud. chg.
Polarization	0.111***	-0.010	-0.010	0.005**
	(0.043)	(0.012)	(0.012)	(0.002)
Auditor Change			-0.384***	
			(0.050)	
Polarization × Auditor Change			0.141***	
			(0.046)	
Year + Industry FE	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes
Cluster	Firm	Firm	Firm	Firm
Sample	Aud. chg.	Earnings	Pooled	Aud. chg.
N	678	20,800	21,478	678
R^2	0.175	0.033	0.037	0.172

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%. *Polarization* is the standardized headquarters-state presidential-election polarization index (mean zero, unit standard deviation computed within each column's estimation sample). The market model is estimated over trading days $[-252, -46]$ relative to each announcement date using the CRSP value-weighted return.

either the signed $CAR(-1,+1)$ or $|CAR(-1,+1)|$ to partial out the mechanical tendency of large initial reactions to mean-revert. Under the overreaction hypothesis, the polarization coefficient should be negative: firms in high-polarization states experience larger initial reactions that subsequently unwind.

Table 9 reports the results. In all four specifications, the polarization coefficient is positive — the opposite sign from the overreaction prediction — and not significant at conventional levels (columns 1–2: $\beta = 0.013$, $p = 0.103$ and $\beta = 0.019$, $p = 0.199$; columns 3–4 with $|CAR|$ control: $\beta = 0.014$, $p = 0.088$ and $\beta = 0.019$, $p = 0.187$). Column (3) is marginally significant at the 10% level, but the positive sign indicates continuation rather than reversal. There is no evidence of post-event price reversal in high-polarization states at either horizon.

This result is more consistent with persistent disagreement than with transient overreaction. Under Kandel and Pearson (1995)-style belief models, investors who form different posteriors about firm quality after an auditor change need not converge quickly, because their disagreement stems from different priors about institutional credibility rather than from a failure to process publicly available information. The absence of reversal supports interpreting the main results as reflecting genuinely heterogeneous valuations that persist beyond the event window, not attention-driven noise that dissipates.

7 Conclusion

This paper provides evidence that political polarization amplifies investor disagreement around auditor-change disclosures: both abnormal trading volume and absolute returns increase with headquarters-state partisan division. The volume result is robust across alternative proxies and clustering structures; the return result is directionally consistent but more fragile, as the disagreement framework predicts. A within-firm placebo on earnings announcements confirms the effect is specific to disclosures requiring interpretation, and post-event returns show no reversal, ruling out transient overreaction.

Table 9: Post-Event CAR Reversal Test. The dependent variable is the signed market-model CAR computed over trading days $[+2, +T]$ relative to the 8-K filing date, where $T = 20$ (approximately one month) or $T = 60$ (approximately three months). *Polarization* is the standardized headquarters-state presidential Esteban-Ray index. Columns (1)–(2) control for the signed event-window $CAR(-1, +1)$ to partial out mechanical mean reversion; columns (3)–(4) control for $|CAR(-1, +1)|$. A negative *Polarization* coefficient is consistent with short-lived disagreement-driven overreaction in high-polarization states. Market model parameters ($\hat{\alpha}$, $\hat{\beta}$) are the same as in the main analysis (estimation window $[-252, -46]$ trading days). Standard errors clustered at the firm level.

	(1)	(2)	(3)
	$CAR[+2, +20]$Signed ctrl.	$CAR[+2, +60]$Signed ctrl.	$CAR[+2, +20]\|CAR\|$ ctrl
Polarization	0.013	0.019	0.014*
	(0.0080)	(0.0147)	(0.0080)
$CAR(-1, +1)$	-0.233	-0.480*	
	(0.153)	(0.266)	
$\|CAR(-1, +1)\|$			-0.086
			(0.253)
Window	[+2,+20]	[+2,+60]	[+2,+20]
Event-CAR control	Signed	Signed	$\|CAR\|$
Year + Industry FE	Yes	Yes	Yes
Controls	Yes	Yes	Yes
N	678	678	678
R^2	0.123	0.128	0.115

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

Several limitations warrant emphasis. Headquarters-state polarization is a noisy reduced-form proxy for the political-information environment of a geographically dispersed investor base; measurement error of this kind attenuates coefficients, but sharper identification of which investors drive the pattern requires investor-level political data that we lack. The sample ($N = 678$) limits power for interaction tests, and our ambiguity indicator conflates interpretive latitude with economic materiality, making it difficult to isolate the pure ambiguity channel.

The findings suggest one limit to disclosure-based regulation in credibility-sensitive settings: when investors differ in their assessments of institutional trustworthiness, more disclosure does not eliminate disagreement. As political polarization has increased persistently over the past two decades (Iyengar et al., 2019; Boxell et al., 2024; Bertrand and Kamenica, 2023), its effect on audit signal interpretation may be growing. We study auditor changes as an initial tractable setting, but the mechanism should operate wherever disclosure interpretation depends on trust in regulated gatekeepers. Future research should examine whether these patterns extend to critical audit matters, going concern opinions, and internal control reports. Our supplementary test finds that national affective polarization (ANES feeling-thermometer differential) does not add explanatory power beyond ideological polarization (Table 11), suggesting the mechanism operates through the partisan composition of the local electorate rather than time-varying partisan animus. However, the national ANES measure is coarse; state- or investor-level measures of affective polarization (Mason, 2015; Druckman and Levy, 2021) could yield different conclusions and remain a promising direction for future work.

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A Supplementary Tables

B Proof of Proposition 1 and Additional Theoretical Results

Setup. Let there be two investor groups, D and R, with population shares $\omega_D, \omega_R > 0$ and $\omega_D + \omega_R = 1$. Group g holds prior $\pi_g \in (0, 1)$. The mean prior is $\bar{\pi} = \omega_D \pi_D + \omega_R \pi_R$. After observing signal $s = 1$, group g holds posterior $\phi(\pi_g)$, where the Bayesian updating function is

$$\phi(\pi) = \frac{p_H \pi}{p_H \pi + p_L(1 - \pi)}, \qquad p_H > p_L > 0.$$

The function ϕ is strictly increasing and continuous on $(0, 1)$.

Table 10: Supplementary Robustness Tests: Geographic Horse-Race and Regulatory Regime Stability

	Horse-Race		SOX Interaction		SOX Subsamples	
	(1) AbVol	(2) $\lvert CAR \rvert$	(3) AbVol	(4) $\lvert CAR \rvert$	(5) AbVol Pre-SOX	(6) $\lvert CAR \rvert$ Pre-SOX
Polarization (state)	0.125**	0.003	0.110*	0.006*	0.097	0.005
	(0.050)	(0.002)	(0.059)	(0.004)	(0.060)	(0.004)
Polarization (county)	−0.030	0.004				
	(0.048)	(0.003)				
Post-SOX			0.249	−0.023*		
			(0.171)	(0.012)		
Pol. × Post-SOX			0.003	−0.003		
			(0.083)	(0.005)		
Year + Industry FE	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes
N	659	659	678	678	317	317
R^2	0.178	0.175	0.175	0.173	—	—
					(7) AbVol Post-SOX	(8) $\lvert CAR \rvert$ Post-SOX
Polarization (state)					0.120*	0.003
					(0.063)	(0.003)
Year + Industry FE					Yes	Yes
Controls					Yes	Yes
N					361	361

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%. Columns (1)–(2) include both state-level and county-level partisan competitiveness simultaneously; the state-level measure dominates for AbVol while neither dominates for $\lvert CAR \rvert$, where both capture overlapping variation. Columns (3)–(4) interact polarization with a post-SOX indicator (≥2003). Columns (5)–(8) report subsample estimates for pre-SOX (2001–2002) and post-SOX (2003–2023) events. The polarization coefficient is directionally positive in both subsamples.

Table 11: Supplementary Affective Polarization Test. Columns (1)–(3) use abnormal volume; columns (4)–(6) use $|CAR|$. $AP \times Exposure$ is the product of the standardized national ANES feeling-thermometer differential and the standardized state long-run presidential vote margin. Because the national AP series is absorbed by year fixed effects, identification comes from the differential response of firms in high-partisan-exposure states as national affective polarization rises over time.

	(1) AbVolIdeo. only	(2) AbVol+Affective	(3) AbVolFull	(4) $\|CAR\|$Ideo. only	$\|CA$
Polarization	0.111***	0.112***	0.130***	0.005**	
	(0.0428)	(0.0428)	(0.0444)	(0.0023)	
High Ambiguity			0.030		
			(0.161)		
Polarization × Ambiguity			-0.100		
			(0.175)		
$AP \times Exposure$		-0.011	0.008		
		(0.0514)	(0.0530)		
$AP \times Exposure\times$ Ambiguity			-0.373		
			(0.298)		
Year + Industry FE	Yes	Yes	Yes	Yes	
Controls	Yes	Yes	Yes	Yes	
N	678	678	678	678	
R^2	0.175	0.175	0.179	0.172	

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

Table 12: Audit Credibility Salience: Interaction Tests. *High Distress* equals one if the firm's Altman Z-score (computed from Compustat fiscal-year data for the year prior to the event) is below the estimation-sample median; financially distressed firms face greater scrutiny of audit quality. *High Disc. Accruals* equals one if the absolute value of Modified Jones model discretionary accruals exceeds the sample median; high accruals signal greater accounting opacity and make audit oversight more salient. *Going Concern* equals one if the prior-year audit opinion included a going-concern modification. The interpretation channel predicts positive interaction coefficients: polarization should amplify investor disagreement specifically when the auditor-change filing forces investors to evaluate the reliability of accounting oversight.

	(1)	(2)	(3)	(4)	
	$\lvert CAR\rvert\times$ Distress	$\lvert CAR\rvert\times$ Accruals	$\lvert CAR\rvert\times$ GC	$\lvert CAR\rvert$Both	Ab
Polarization	0.004	0.008*	-0.001	0.007	
	(0.0033)	(0.0048)	(0.0039)	(0.0056)	
High Distress	0.006			0.006	
	(0.0094)			(0.0095)	
Polarization × High Distress	0.002			0.002	
	(0.0045)			(0.0044)	
High Disc. Accruals		-0.012		-0.012	
		(0.0091)		(0.0093)	
Polarization × High Accruals		-0.005		-0.005	
		(0.0053)		(0.0052)	
Going Concern			-0.006		
			(0.0120)		
Polarization × Going Concern			0.008		
			(0.0092)		
Year + Industry FE	Yes	Yes	Yes	Yes	
Controls	Yes	Yes	Yes	Yes	
N	668	675	199	665	
R^2	0.174	0.177	0.395	0.179	

Notes: Standard errors clustered at the firm level in parentheses. ***, **, * denote significance at 1%, 5%, 10%.

Step 1: Variance formula. The posterior beliefs across groups follow a two-point distribution placing mass ω_D at $\phi(\pi_D)$ and mass ω_R at $\phi(\pi_R)$. The population mean posterior is $\bar{\phi} = \omega_D\phi(\pi_D) + \omega_R\phi(\pi_R)$. A standard calculation gives:

$$\begin{aligned}
\mathrm{Var}[\phi(\pi_g)] &= \omega_D\big(\phi(\pi_D) - \bar{\phi}\big)^2 + \omega_R\big(\phi(\pi_R) - \bar{\phi}\big)^2 \\
&= \omega_D(\omega_R)^2\big(\phi(\pi_D) - \phi(\pi_R)\big)^2 + \omega_R(\omega_D)^2\big(\phi(\pi_D) - \phi(\pi_R)\big)^2 \\
&= \omega_D\omega_R(\omega_D + \omega_R)\big(\phi(\pi_D) - \phi(\pi_R)\big)^2 \\
&= \omega_D\omega_R\big(\phi(\pi_D) - \phi(\pi_R)\big)^2,
\end{aligned}$$

where the second equality uses $\phi(\pi_D) - \bar{\phi} = \omega_R(\phi(\pi_D) - \phi(\pi_R))$ and $\phi(\pi_R) - \bar{\phi} = -\omega_D(\phi(\pi_D) - \phi(\pi_R))$, and the last equality uses $\omega_D + \omega_R = 1$. This establishes the variance formula in Proposition 1.

Step 2: Monotonicity in $|\pi_D - \pi_R|$. Without loss of generality, assume $\pi_D > \pi_R$. A mean-preserving spread that increases $|\pi_D - \pi_R|$ by $\epsilon > 0$ while holding $\bar{\pi}$ fixed requires:

$$\pi'_D = \pi_D + \omega_R\epsilon, \qquad \pi'_R = \pi_R - \omega_D\epsilon,$$

so that $\omega_D\pi'_D + \omega_R\pi'_R = \omega_D\pi_D + \omega_R\pi_R = \bar{\pi}$. We restrict ϵ to be small enough that $\pi'_D \in (0, 1)$ and $\pi'_R \in (0, 1)$; such $\epsilon > 0$ exists because $\pi_D, \pi_R \in (0, 1)$ strictly.

Since ϕ is strictly increasing:

$$\phi(\pi'_D) = \phi(\pi_D + \omega_R\epsilon) > \phi(\pi_D), \qquad \phi(\pi'_R) = \phi(\pi_R - \omega_D\epsilon) < \phi(\pi_R).$$

Therefore:

$$\phi(\pi'_D) - \phi(\pi'_R) > \phi(\pi_D) - \phi(\pi_R) > 0.$$

Since $\omega_D\omega_R > 0$ is unchanged, we conclude:

$$\mathrm{Var}[\phi(\pi'_g)] = \omega_D\omega_R\big(\phi(\pi'_D) - \phi(\pi'_R)\big)^2 > \omega_D\omega_R\big(\phi(\pi_D) - \phi(\pi_R)\big)^2 = \mathrm{Var}[\phi(\pi_g)]. \qquad \square$$

Remark (role of mean-preservation). The mean-preserving condition $\omega_D\pi'_D + \omega_R\pi'_R = \bar{\pi}$ is used to hold the average prior fixed, ensuring that the comparison is *ceteris paribus*: only dispersion changes, not the level of the aggregate belief. However, mean-preservation is *sufficient*, not *necessary*, for the variance to increase. The formula $\mathrm{Var}[\phi(\pi_g)] = \omega_D\omega_R(\phi(\pi_D) - \phi(\pi_R))^2$ depends only on the gap $|\phi(\pi_D) - \phi(\pi_R)|$, which is strictly increasing in $|\pi_D - \pi_R|$ for any $\pi_D, \pi_R \in (0,1)$, regardless of what happens to the mean. If affective polarization causes an asymmetric shift — one group's prior moves while the other's stays fixed — the mean shifts too, but the posterior variance still increases as long as the gap $|\pi_D - \pi_R|$ widens. The mean-preserving restriction serves to isolate the dispersion effect from a change in average pessimism or optimism, not to make the monotonicity result logically possible.

Proposition A1: Unified Channel Representation.

Let $\sigma(x) \equiv e^x/(1+e^x)$ denote the logistic map, with $\sigma'(x) = \sigma(x)(1-\sigma(x)) > 0$ for all $x \in \mathbb{R}$. For any prior $\pi \in (0,1)$, define prior log-odds $a(\pi) \equiv \log[\pi/(1-\pi)]$ and objective log-likelihood ratio $\ell \equiv \log(p_H/p_L) > 0$.

Proposition 2 (Unified channel)**.** *Let each group have posterior $\mu_g = \sigma(X_g)$, where the latent log-odds index $X_g = a(\pi_g) + \tau_g\kappa_g\ell$ may differ across groups through any combination of heterogeneous priors π_g, trust $\tau_g \in [0,1]$, or perceived signal precision $\kappa_g > 0$. When $\tau_g = \kappa_g = 1$ for all groups, $\sigma(X_g) = \phi(\pi_g)$, the Bayesian posterior of Equation* (1)*, so the main model is a special case. Then:*

$$\mathrm{Var}(\mu_g) = \omega_D\omega_R\big[\sigma(X_D) - \sigma(X_R)\big]^2,$$

and any mean-preserving spread of the latent indices — increasing $|X_D - X_R|$ while holding

$\omega_D X_D + \omega_R X_R$ *fixed — strictly increases* $\mathrm{Var}(\mu_g)$. *In particular, if polarization widens the cross-group gap in any one of the three underlying components via a mean-preserving spread — prior log-odds, trust, or perceived precision — posterior variance and disagreement-sensitive trading outcomes strictly increase.*

Proof. The variance formula is the two-point distribution result (Step 1 above). For the comparative static, consider $X'_D = X_D + \omega_R \epsilon$, $X'_R = X_R - \omega_D \epsilon$ for $\epsilon > 0$, which preserves the weighted mean. Since σ is strictly increasing, $\sigma(X'_D) > \sigma(X_D)$ and $\sigma(X'_R) < \sigma(X_R)$, so $|\sigma(X'_D) - \sigma(X'_R)| > |\sigma(X_D) - \sigma(X_R)|$ and the variance strictly increases. The same argument applies when the source of heterogeneity is trust alone (π and κ common), precision alone (π and τ common), or any combination — in each case, the relevant parameter enters X_g monotonically, and a mean-preserving spread widens the gap. □ □